

Bermuda triangle for humanitarian aid givers, receivers and beneficiaries: Where does all the money go?

It is high time we tap into the transactional accountability of humanitarian aids and find remedies to curb corruption.

I use the metaphor of a Bermuda triangle to situate the three stakeholders: aid givers, receivers and real beneficiaries as well as the quantity of money that flows into and out of this triangle rapidly. The fundamental focus in this is corruption, which decapitates people in humanitarian distress. This raises the question of where does all the money go? Are there aid leakages?

Simply said, the majority of the funds are directed to people in critical need of humanitarian help. Yemen, Syria, Afghanistan, Ethiopia, and South Sudan [receive the most funding](#), in descending order of need. There are leakages in the form of corruption inside the giver's system and receiver's capability, and not all aids are mobilized to meet people's true needs. Corruption can take many forms, such as abusing and misusing power, normalizing favoritism, perks and privileges, misusing cash, and it can manifest in local and multinational institutions. However, regardless of its various manifestations, the final result of corruption is to paralyze the system, delay aid, and profit oneself rather than for the original cause. Some of the major areas of corruption in the humanitarian industry are in food distribution and post disaster construction. However, humanitarian aid agencies are hesitant to discuss cases of corruption within their organization or at the receiver's end for fear of undermining donor public support and negatively impacting local aid relations.

Corruption in humanitarian aid is difficult to solve for two reasons. First, tracking of resources is difficult and second the rapidity of the work. Many of the aid supplied can be stolen or barred from the interference of the government and no one knows if they go missing. The sector is extremely fast-paced, and there is a tremendous amount of pressure to act quickly in order to solve the world's most complex issues; thus, it is the only sector with the highest flow of donor money. The temptation to spend quickly does not always lead to corruption, but quick expenditure without standard checks and processes to avoid corruption is the problem.

Corruption at the receiver's end

The majority of international humanitarian operations occurs in vulnerable states which have rule by law, inefficient public institutions, and limited capacity to prevent or combat humanitarian disasters. [Somalia and Afghanistan](#), for example, are two of the countries most in need of humanitarian assistance today. Transparency International puts Somalia worst out of 180 countries in its Corruption Perceptions Index for 2018, while Afghanistan ranks 172nd. There is a link between corruption and need for more humanitarian assistance as people who are not supported by their governments are the ones who are in the most need.

Corruption in the giver's end

A few examples of corruption in humanitarian agencies include the [Iraq Oil for Food program](#), which reportedly took bribes totaling more than \$1 billion from 1997 to 2003. However, all of the wrongdoing on these fronts may not be monetarily motivated. Women and children were sexually abused by humanitarian aid workers and peacekeepers in many refugee camps such as in Guinea,

Liberia, and Sierra Leone, in [exchange for food](#). Furthermore, in the aftermath of the Katrina storm in the United States, we saw several systemic level corruptions in humanitarian aid, demonstrating that these corruptions occur not just in developing or impoverished countries due to bad institutions, but even in rich countries. Humanitarian assistance corruption during Hurricane Katrina and the Indian Ocean tsunami demanded quick action, but no systemic examination of the corruption was conducted. No significant evaluation has been conducted to prevent it; what big challenges may exist, and what gaps must be addressed to prevent corruption in humanitarian assistance?

Anti-corruption policies and practices

To address the problem of corruption, many humanitarian aid organizations have established a distinct set of practices or regulation code for the staff, for spending and approvals, segregation of duties regulations, staff complaint, and whistleblower mechanisms by establishing a safe channel for staff to report corruption safely and confidentially. However, these policy interventions have limitations because the circumstances in office may differ significantly from the crisis on the ground. During an actual crisis, it is exceedingly difficult to find the time and resources to begin emergency preparedness. Many agency staff do not have access or awareness of the self-supporting mechanisms and even if they do they have few incentives and many disincentives like job loss or creation of grudges. Similarly, the predominance of ineffective policies, such as the whistleblower mechanism, is not an innovation in the sector. This policy impairs the ability to prevent and identify corruption before it occurs, but it exists as a reporting mechanism that does not halt misconduct. Instead, humanitarian aid organizations should seek beyond their own scope of engagement for inspiration.

For example learning from the [World Bank's strategy](#) to building capable, transparent, and accountable institutions, constructing anti corruption initiatives within humanitarian missions by utilizing the most recent discourses and innovations. Humanitarian organizations must combat corruption both internally and externally by predicting and controlling risks associated with their own projects. They must thoroughly examine their program structure, get feedback, and address potential corruption issues before deploying it in a crisis zone. Finally, there is a strong need to establish an independent sanction system that is in charge of investigating allegations and fraudulent activity that occurs as a result of filled complaints, and if stakeholders, staff, or agencies are found guilty, they should be barred from participating in any humanitarian aid-financed activity.

Acceptance and knowledge of downward accountability

Humanitarian aid organizations must design their projects to counteract corruption by incorporating recipients more, making them aware of their entitlements through awareness and education campaigns, and giving methods for feedback and complaint. In attempts to make humanitarian interventions accountable to the intended beneficiaries, more emphasis should be placed on the existing Humanitarian Accountability Partnership International (HAP-I). The process of preventing corruption must trickle down and be integrated across all levels of administration, from top-level government officials to NGOs to the UN, and to individuals living in communities who need the greatest help. Similarly, the donor country must create incentives for reporting wrongdoing inside this accountability framework. The process of building accountability

and awareness by educating personnel may slow down the speed initially, but it will be more successful in the long run when agencies and officials are more equipped.

Monitoring and Evaluation (MnE)

More investments, independence, and attention on impact are required in the MnE sector of humanitarian relief. Although there is a greater emphasis on enhancing program quality, methods of reaching beneficiaries, and accountability; agencies are still trailing behind on comprehensive monitoring. This is due to the fact that agencies are generally responsible for reporting on their own projects, rather than with the presence of an external impartial institution. MnE departments of humanitarian agencies are typically small, underfunded, and unimportant. This must change in order to combat corruption.

Change must begin immediately:

On December 20, 2022, the United Nations [forecasted](#) that the annual humanitarian relief for the following year would reach a record high of \$51.5 billion, with 339 million people in need of assistance across 69 countries. The quantity of humanitarian need in terms of resources and cash [continues to rise](#) year after year, with \$28.9 billion, \$30.6 billion, and \$31.3 billion in 2017, 2018, and 2021 respectively exacerbated by increased war and climate-related disasters. These demands will only grow if the targeted amount does not reach those in greatest need. If aid money is not intercepted on time, there is a greater risk of corruption. To counteract corruption, humanitarian aid organizations must emphasize inclusivity, better intervention and participation of local populations, as well as government stakeholders who will hold the transaction accountable, and increase monitoring mechanisms.